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Question 1 © *Number of mergers and acquisitions (M&As) deals in Singapore from 2013 to 2021*; statista; https://www.statista.com/statistics/1023194/singapore-mergers-and-acquisitions-deals-volume/ 1 July 2021.
Question 4 © Andrew Hodge and Li Lin; *Boosting the Economy: The Impact of US Government Spending Plans*; https://www.imf.org/en/News/Articles/2021/07/01/na070121-boosting-the-economy-the-impact-of-us-government-spending-plans 2021.

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Section B

One or two of your three chosen questions must be from this section.

4 While economic theory suggests that free trade is beneficial, many large countries such as the United States and China are increasingly protecting their economies through the use of import tariffs and other protectionist measures.

(a) Explain how the removal of an import tariff by a country might redistribute welfare between its economic agents and improve resource allocation. [10]

(b) Discuss the benefits and unintended consequences of imposing protectionist measures and consider whether large economies should impose such measures. [15]

5 A key policy target for the Singapore government is inclusive growth. The Gini coefficient for household incomes in Singapore was 0.44 in 2021. The value of the Gini coefficient is reduced to 0.39 for household incomes after accounting for government transfers and tax.

Source: Key Household Income Trends 2021, Singapore Department of Statistics, Feb 2023

(a) Explain how an increase in the rate of income tax might affect actual and potential economic growth. [10]

(b) Discuss whether giving more generous transfer payments is the most appropriate policy measure to achieve inclusive growth in Singapore. [15]

6 The global pandemic has led to deficits in the balance of trade for many economies. These deficits may lead to a depreciation of the exchange rate of affected economies.

(a) Explain how a depreciation in a country's exchange rate might lead to demand-pull inflation and to cost-push inflation. [10]

(b) Discuss whether the depreciation of its exchange rate is the most appropriate policy to improve the balance of trade of an economy that has suffered as a result of the global pandemic. [15]

Answer **three** questions in total.

Section A

One or two of your three chosen questions must be from this section.

1 In 2021, there were over 800 mergers and acquisitions in Singapore. This was a significant increase from just over 480 recorded in 2020. A justification for these mergers and acquisitions is that they allow firms to benefit from economies of scale.

Source: Adapted from Statista, *23 March 2022*

(a) Explain internal economies of scale and external economies of scale and their link to a firm's long-run average cost of production. [10]

(b) Discuss whether gaining economies of scale is the only justification for mergers and acquisitions. [15]

2 The fixed costs of owning a new car in Singapore are considerably higher than the variable costs of using it. This is likely to lead to greater car use. The cost of manufacturing an electric car is higher than that of a petrol or diesel-powered car. This is likely to reduce the purchase of electric cars.

(a) Explain why the fixed costs of owning a new car in Singapore are considerably higher than the variable costs **and** why this is likely to lead to greater car use. [10]

(b) Discuss whether road pricing is the most appropriate policy choice for a government that seeks to reduce the environmental damage caused by car use. [15]

3 A government reduces the rate of income tax and increases the rate of goods and services tax.

(a) Explain, with examples, why the impact on expenditure from a reduction in the rate of income tax depends on a good's income elasticity of demand. [10]

(b) Discuss whether firms can increase the price of **all** products by the full amount of the goods and services tax increase. [15]

MINISTRY OF EDUCATION, SINGAPORE
in collaboration with
CAMBRIDGE ASSESSMENT INTERNATIONAL EDUCATION
General Certificate of Education Advanced Level
Higher 2

ECONOMICS

9570/02

Paper 2 Essays

October/November 2025

2 hours 30 minutes

No Additional Materials are required.

READ THESE INSTRUCTIONS FIRST

An answer booklet will be provided with this question paper. You should follow the instructions on the front cover of the answer booklet. If you need additional answer paper ask the invigilator for a continuation booklet.

Answer **three** questions in total, of which **one** must be from Section A, **one** from Section B and **one** from **either** Section A or Section B.

The number of marks is given in brackets [ ] at the end of each question or part question.

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Question 1 Extract 2	© R Downie; *Who are Tesco's main competitors?*; Investopedia; www.investopedia.com 23 September 2021.
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Question 2 Extract 5	© L He; *China's currency is having an even better year than the US dollar. Here's why*; CNN Business; www.edition.cnn.com/2021/12/09/investing/china-yuan-2021-mic-intl-hnk/index.html 10 December 2021
Question 2 Table 3	© *Trade in Goods with Vietnam*, US Census Bureau, www.census.gov/foreign-trade/balance/c5520.html 11 July 2023
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Question 2 Extract 7	© J H Breen; *Prospects for the UK's CPTPP accession*; East Asia Forum; www.eastasiaforum.org 1 February 2022.
Question 2 Extract 7	© International Affairs Think Tank; *Why joining the CPTPP is a smart move for the UK*; Chatham House – International Affairs Think Tank; www.chathamhouse.org/2021/03/why-joining-cptpp-smart-move-uk 19 March 2021.
Question 2 Extract 7	© C Freeman; *How will China's bid to join a CPTPP affect regional stability*; US Institute of Peace; www.usip.org 7 October 2021.
Question 2 Extract 7	© M-H Chiang; *China's application to join CPTPP comes to the fore, after the UK's entry*; ThinkChina; www.thinkchina.sg/chinas-application-join-cptpp-comes-fore-after-uks-entry 20 July 2023

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2 (a) With reference to Table 3, calculate the relative fall in international tourist arrivals for the various countries between 2019 and 2022 and identify the country that has the largest relative fall. [2]

(b) Using Extract 5, explain **one** demand or supply factor for the slower recovery in international tourist arrivals in ASEAN economies compared to Western Europe and North America in 2022. [2]

(c) Using Extract 6, explain how television programmes might be used to reduce market failure that arises from international air travel. [6]

(d) According to Extract 7, the tourism multiplier for an entire country is lower than the multiplier for a specific tourist-dependent village in a country.

Explain **one** possible reason for such a difference. [2]

(e) Discuss whether taxing international visitors is the best way of controlling the flow of international tourists into ASEAN countries. [8]

(f) A low-income ASEAN country plans to attract more international tourists.

Discuss the factors that a government might consider in deciding whether this plan would be beneficial for the country. [10]

[Total: 30]

In September 2021, China formally applied to become a member of the CPTPP. This was not a surprise given China's considerable interests in the Asia-Pacific Rim. Economists believe that China's membership would not only add billions of dollars to the GDP of the bloc but it would also provide a welcome boost for the Chinese economy at a time when its growth rate has been falling. China's entry into the CPTPP is beneficial as it could offset its prolonged economic slowdown by accessing a larger market in other member countries for the Chinese exports. China is also projected to increase foreign direct investment, thus strengthening its role in the global supply chain networks.

Sources: Breen J H, East Asia Forum, 1 February 2022
Chatham House – International Affairs Think Tank, 19 March 2021
Freeman C, US Institute of Peace, 7 October 2021
Chiang M-H, ThinkChina, 20 July 2023

Extract 6: Information failure in the market for international air travel

One of the principles of market economics is that consumers as decision-makers receive full and accurate information about the markets in which they are seeking to spend their limited resources. Good information is therefore critical if markets are to work efficiently.

Recent research by the UK's Behavioural Insights Team (BIT) has investigated ways in which television programmes can encourage people to be more environmentally friendly. This research aims to come up with ways to change people's attitude and actions by making small changes to their lives. Consumers are discouraged from taking long-haul flights by television programmes that show how carbon emissions from international air travel contribute to the climate crisis.

The BIT report suggested that 63% of all future emissions were in one way or another behavioural. In particular, the report stressed the need to change attitudes to the way in which people travel. It was reported that if at least one in ten television viewers in the UK avoided taking just one medium-length flight, a significant 258m tonnes of CO_2 emissions could be saved. Researchers believe that television programmes can educate and inspire people to change their behaviour to encourage sustainability.

Source: Evidence-based guide for broadcasters, Behavioural Insights Team, 2021

Extract 7: Tourism multipliers in selected countries in Asia

Over many years, academic research has investigated the economic impact of tourism on a country's economy. Such studies have involved the collection of masses of data, usually to estimate the size of the multiplier when measured in terms of income, output or employment. Estimating the value of multipliers is difficult and there are sometimes significant differences in values between seemingly similar economies.

The tourism multiplier is a specific application of the usual multiplier process. Tourist spending, for example, can have successive magnified influences on a host country's economy following an initial injection of spending by tourists.

Estimates of the size of the multiplier vary widely between countries. For Singapore, the tourism multiplier has been estimated to be 1.97; in Malaysia this multiplier has been estimated to be 2.11. Elsewhere, in Indonesia, projects centred on a tourist village produced an estimated local tourism multiplier of 2.57. Outside of ASEAN but still in Asia, tourist projects centred on a Buddhist temple in Uzbekistan produced a local tourism multiplier of 2.85.

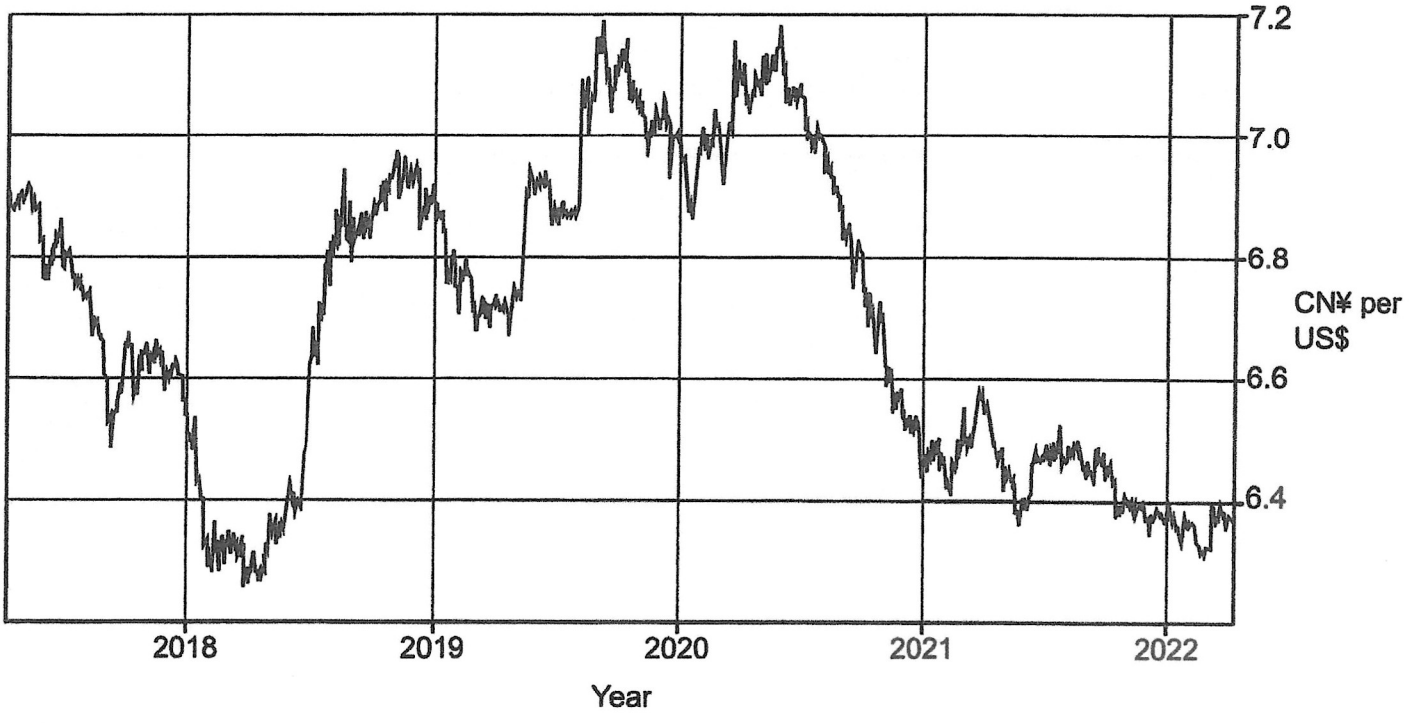
Sources: Adapted from:
Travel & Tourism Development Index 2024,
World Economic Forum, 21 May 2024
Central Asian Journal of Innovations on Tourism Management and Finance,
Vol 3 Issue 3, March 2022
International Journal of Management, Innovation & Entrepreneurial Research,
Vol 6 no2, 1 January 2021
Tourism Analysis, Vol 22, 2017
Singapore Management University, Research Collection, 1995

Question 2: Changing economic relationships in the Asia-Pacific Rim

Extract 5: China's currency is having an even better year than the US dollar

China is struggling with a slowing economy, yet its currency, the Chinese yuan (CN¥), has rarely been stronger. It is now outperforming the US dollar (US$) at a time when the Federal Reserve, the US central bank, prepares to increase interest rates. The Chinese currency has risen more than 8% in 2021 compared to 24 other currencies.

Figure 2: US dollar Chinese yuan exchange rate, April 2017 to March 2022



Source: tradingeconomics.com, 11 July 2023

The yuan began to strengthen from mid-2020 after a period of what many thought was deliberate depreciation by the People's Bank of China (PBOC). Interestingly, the appreciation rather than the depreciation against the US dollar came after the PBOC stopped directly controlling the exchange rate. Instead, free market forces were left to determine how the yuan performed in the foreign exchange market.

There are concerns about the speed of the increase in the value of the CN¥ against the US$ as Beijing has introduced tighter credit conditions that could slow down economic growth even further. These issues do not seem to concern the PBOC which described the rise as 'relatively modest'.

Despite weaker economic growth, booming exports and short-term capital flows buying Chinese government bonds are credited as the main causes of the yuan's strong performance since 2020. This strengthening is projected to continue until mid-2023.

The stronger the yuan, the greater the likelihood that the world's central banks will keep currency reserves to promote the yuan's use. After all, much international trade is in US dollars and China buys a lot of commodities that are priced in US dollars. There is a downside if the yuan continues to strengthen; a stronger currency could cause Chinese exports to be less competitive. This could well threaten China's already fragile economic recovery from the Covid-19 pandemic.

Source: Adapted from L He, CNN Business, *10 December 2021*

1 (a) Using the data in Table 1

(i) calculate Japan's aggregate demand in 2019 [1]

(ii) calculate Japan's spending on imports of goods and services in 2019. [1]

(b) Using Table 1, explain how changes in exports of goods and services from 2021 to 2024 might affect **one** other component of aggregate demand in Japan. [3]

(c) Using a diagram, explain how monetary policy under 'Abenomics' would affect Japan's aggregate demand, aggregate supply and hence its real output. [4]

(d) Explain **two** possible ways in which fiscal policy under 'Abenomics' might affect Singapore's competitiveness. [3]

(e) With reference to Extract 3, discuss whether supply-side policies would have been likely to reduce Japan's inflation rate. [8]

(f) Discuss the extent to which Japan continues to experience economic difficulties following the COVID-19 pandemic of 2020 to 2022. [10]

[Total: 30]